Vinamilk (HOSE: VNM): DCF Valuation Results

Trinh Buu Thong
Personal project, October 2026

5-year unlevered free cash flow DCF in Excel | Balance sheet at 30 Jun 2026 | Market data at 16 Oct 2026 close | Unit: VND billions

VND 64,963	VND 57,800	+12.4%	9.55% / 3.0%
Value per share (base case)	Market price, 16 Oct 2026	Upside to market price	WACC / terminal growth

Conclusion. In the base case, VNM is worth about VND 64,963 per share, 12.4% above the market price. Across the sensitivity grid (WACC 8.55–10.55%, terminal growth 2.0–4.0%), value ranges from VND 52,876 to 87,563; the market price sits near the bottom of that range, pointing to moderate undervaluation. The model implies 2026E EV/EBITDA of 8.0x, against about 7.0x at the current price. About 75% of enterprise value comes from the terminal value, so the result depends most on long-run margin, terminal growth and WACC.

Forecast summary

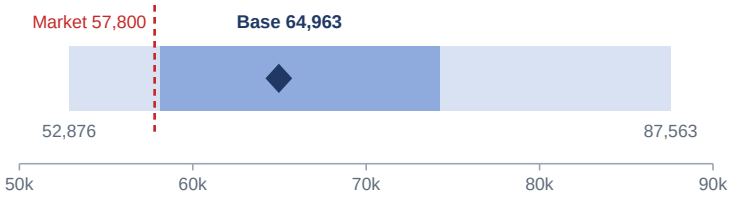
VND bn	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	63,646	70,647	73,826	76,779	79,466	81,850
Growth	3.0%	11.0%	4.5%	4.0%	3.5%	3.0%
EBIT	10,664	12,575	12,920	13,283	13,668	13,915
EBIT margin	16.8%	17.8%	17.5%	17.3%	17.2%	17.0%
D&A	2,363	2,473	2,584	2,687	2,781	2,865
CapEx	1,762	2,119	2,362	2,534	2,702	2,865
Change in working capital (incl. other payments)	(2,713)	(2,119)	(2,215)	(2,303)	(2,384)	(2,456)
Unlevered free cash flow	**6,315**	**4,643***	**8,342**	**8,476**	**8,630**	**8,676**
Present value (PV)	–	4,436	7,275	6,747	6,271	5,754

* 2026E covers H2 only: full-year 8,294 less H1 actual 3,651 (already in the 30 Jun cash balance).

From EV to value per share

VND bn	
PV of free cash flow	30,483
PV of terminal value	90,427
Enterprise value (EV)	**120,910**
+ Cash, deposits and associates	27,114
– Debt and non-controlling interests	(12,254)
Equity value	**135,770**
Shares outstanding (bn)	2.090
Value per share (VND)	**64,963**

Value range vs. market price



Light bar: full WACC / growth grid. Dark bar: WACC and growth each varied by ±0.5 pt.

Sensitivity: value per share (VND)

WACC / g	2.0%	2.5%	3.0%	3.5%	4.0%
8.55%	66,695	70,619	75,250	80,798	87,563
9.05%	62,506	65,820	69,682	74,239	79,698
9.55%	58,871	61,701	**64,963**	68,764	73,248
10.05%	55,688	58,127	60,913	64,123	67,863
10.55%	52,876	54,997	57,398	60,139	63,299

Green = at or above market price; red = below. Base case boxed.

Key assumptions

- **Revenue.** Growth fades from 11.0% (2026E) to 3.0% (2030E). H1 2026 revenue grew 17.8%, while management's full-year target is only +4.3% (VND 66,450bn); the model's VND 70,647bn implies roughly 5% growth in H2.
- **Margins.** EBIT margin eases from 17.8% to 17.0% by 2030E (FY2025: 16.8%; H1 2026: 18.0%). The 2026E margin is above VNDirect's 16.6% forecast (Mar 2026). Tax is 20% of EBIT.
- **CapEx and working capital.** CapEx steps up from 3.0% to 3.5% of sales, matching D&A by 2030E. The change in working capital, including other operating payments (code 17), is held at −3.0% of sales each year (five-year average), close to 100% of incremental revenue in the terminal year. This is a conservative assumption.
- **WACC 9.55%.** Cost of equity 10.03% (10-year government bond yield 4.58% + adjusted beta 0.67 × risk premium 8.13%); pre-tax cost of debt 3.5%; debt weight 6.5%.
- **Half-year stub.** The valuation date is 30 Jun 2026, so actual H1 2026 free cash flow (VND 3,651bn) is excluded from 2026E; it is already in the 30 Jun cash balance.

Key risks and judgement calls

- **Cost of equity is a judgement call.** Using the local-currency bond yield plus the full country risk premium partly double-counts sovereign risk. A treatment consistent with Damodaran's method gives a WACC near 7% and a much higher value.
- **Beta is uncertain.** Raw beta is 0.50 (another source shows 0.34). A beta of 0.50 would give a WACC of about 8.3%; a beta of 0.80 would push it to about 10.5%.
- **Terminal value is ~75% of EV,** so a lower long-run margin would cut the upside. The forecasts are my own estimates, not company guidance, and 2026E revenue and margin both sit above management's target and the VNDirect forecast.
- **Simplifications.** Non-controlling interests are at book value; VND 21,968bn of bank deposits is treated as fully liquid; the share count comes from one market-data site, and treasury shares were not checked against the filing.

Sources: Vinamilk audited financial statements FY2021–25 and Q2/H1 2026 interim financial statements (KPMG-reviewed); Vietstock (price, share count); Trading Economics (bond yield); Damodaran, Jan 2026 (country risk premium); VNDirect (Mar 2026) and the company's 2026 targets (cross-checks). Full source list and all assumptions are in the Excel model. Educational project; not investment advice.